

Rigetti Computing, Inc.

RGTI NASDAQ

Hold	\$13.91 ▼ 1.35%	12M Price Target \$18.00	52-Week Range \$12.53 – \$58.15	Market Cap \$4.62B
------	-----------------	-----------------------------	------------------------------------	-----------------------

RGTI: Quantum Hype Cooling, Quantinuum IPO Steals Spotlight

WHAT HAPPENED

- RGTI is down five days in a row, from \$16.11 to \$13.91 — that's about a 14% drop in a week. The trigger is pretty clearly the Quantinuum IPO (Honeywell's quantum spinoff going public), which gives institutional money a bigger, more mature quantum name to buy instead of RGTI.
- Volume today collapsed to 5.4M shares vs. 20M+ all week — that's sellers running out of ammo, not new panic. Usually a sign we're near a short-term bottom, but not a reason to chase.

WHY IT MATTERS

Here's the real story: RGTI is trading at just 3% of its 52-week range (meaning it's near the yearly low of \$12.53 vs. a high of \$58 — you can see how brutal the round trip was). The Quantinuum IPO matters because it fragments the "quantum trade" — money that used to pile into RGTI/IONQ/QBTS as the only pure-plays now has a fourth, arguably better-funded option. That's a structural headwind, not a one-day event. But here's the flip side — insider selling was back in June at \$20.55 (a director dumped \$1.7M worth), and we're now 32% below that. The people who know the company thought \$20 was rich; the market is now agreeing.

POLICY & POLITICAL WATCH

The National Quantum Initiative Reauthorization Act is the single most important thing to watch — it authorizes billions in federal quantum R&D funding through DOE, NSF, and DARPA, and RGTI is a direct beneficiary through its DARPA Quantum Benchmarking Initiative contracts. If it moves through Congress this fall, that's a real catalyst. Separately, the Trump administration's push to restrict tech exports to China cuts both ways here — it protects RGTI's IP moat but also blocks a potential customer base. Watch for any executive order specifically naming quantum computing as critical infrastructure; that would unlock defense procurement dollars fast.

IS IT EXPENSIVE?

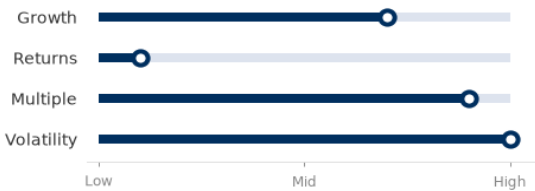
This is where it gets uncomfortable. RGTI has a \$4.6B market cap on roughly \$15-18M in expected 2026 revenue — that's investors paying about \$250 for every \$1 of revenue. Even in the wildly optimistic 2027 numbers, you're paying ~140x sales. For context, a "expensive" software stock trades at 15x sales. The bull case is that quantum computing is a decade-long story and revenue will inflect exponentially — but you're paying today for a scenario that isn't guaranteed to happen.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$13.91
12M Price Target	\$18.00
Upside / (Downside)	+29.4%
Market Cap	\$4.62B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.35)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$17.00	\$14.00	\$11.00
6 Months	\$22.00	\$16.00	\$9.00
1 Year	\$28.00	\$18.00	\$8.00
2 Years	\$45.00	\$22.00	\$6.00
5 Years	\$90.00	\$35.00	\$4.00
10 Years	\$200.00	\$60.00	\$2.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+5% on the week) and Utilities are ripping — that's the "AI needs power" trade plus new nuclear executive orders driving capital into anything that generates electrons. Defensive names (Staples, Healthcare) also bid, which tells you money is playing it safe.

COOLING OFF: Speculative tech, specifically the small-cap quantum/AI names. Notice no tech ETF is on the leaderboard — that's rotation OUT of story stocks.

ROTATION WATCH: Money is moving from "promise" stocks (RGTI, IONQ) into "picks and shovels" stocks (utilities, energy infrastructure) that benefit from AI regardless of who wins. That's a bearish setup for RGTI short-term.

RELATED PLAY: If you want quantum exposure with less pain, the utilities powering the data centers (VST, CEG) or the specialty materials companies making cryogenic components are getting the same tailwind with actual earnings.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): Power generation for AI data centers — this is where the "quantum/AI needs energy" trade is actually paying off.
- CEG (Constellation Energy): Nuclear power for hyperscalers, riding federal nuclear reauthorization tailwinds.

RGTI CONTEXT: RGTI is badly lagging both its direct peers (IONQ was down 36% last month too — the whole cohort is broken) and the broader AI beneficiaries. When your peer group AND your tangential themes are both weaker than the market, that's a "wait for the dust to settle" signal, not a "back up the truck" signal.

WHAT I'D DO WITH THIS STOCK

4/10 Conviction Score

CONVICTION: 4/10 — Cautiously skeptical. Real technology, real government interest, but valuation still needs to compress OR revenue needs to inflect for this to work from here.

POSITION SIZE: 1-2% max, and only in your speculative "lottery ticket" bucket. The 52-week range (\$12-\$58) tells you this thing can move 30% in a week either direction.

ENTRY POINTS: I'd wait for either (a) a flush to \$11-12 with capitulation volume, or (b) a breakout back above \$18 with confirmation of new government contract wins. Don't chase in the middle.

TIME HORIZON: 18-36 months. The quantum computing thesis is a 2027-2030 story, not a 2026 story. You need patience or you need to trade it.

WHEN TO BAIL: Dilutive equity raise below \$12, loss of DARPA contract, or CEO/CTO departure. Any one of those and you're out same day.

HEDGING: Simplest hedge — pair a long RGTI position with a short IONQ position of equal size. That way you're betting on RGTI beating its closest competitor, not on the whole quantum sector working (which is a much scarier bet right now).